

Opportunities²⁰²⁴ in Adversity

Tough times make brilliant businesses

Contents

01.

Foreword

02.

Introduction

03.

How and why Charles Stanley supports entrepreneurs

04.

Summary of the UK's economy since 2008

05.

Summary of opportunities in adversity survey findings

06.

Successes founded in the GFC

07.

Sectoral trends

08.

Case study: Tandem

09.

Successes founded during COVID-19

10.

Sectoral trends

11.

Case study: Forest

12.

High-growth companies that pivoted during COVID-19

13.

Case study: Muc-Off

14.

Potential successes founded in recent years

15.

The potential of AI for businesses

16.

Case study: Samudra Oceans

17.

Conclusion

18.

Charles Stanley

19.

Methodological note

20.

About us

Foreword



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Entrepreneurs can easily become discouraged in the current turbulent environment. However, economic challenges come with significant opportunities. This report illustrates that tough times are not a barrier to entrepreneurship; rather, they can ignite innovation and growth. We hope this research highlights just some of the opportunities possible during periods of adversity by showcasing inspiring entrepreneurs and companies that can encourage others to seek out new opportunities.

This report explores how economic hardships, including the 2008 global financial crisis, the COVID-19 pandemic, and the current recessionary environment, have fostered entrepreneurial opportunities in the UK. During the financial crisis, 585k new businesses were incorporated, in sectors like software and fintech — many of which are household names today. Similarly, the COVID-19 pandemic accelerated a digital shift, leading to a surge in businesses operating in software and mobile apps. From March 2020 to January 2022, 1.43m new businesses were established. Success stories like Forest ([page 11](#)) and Muc-Off ([page 13](#)) highlight the benefits of flexibility and quick thinking in challenging times.

The current recessionary environment — with high inflation and increased interest rates — continues to test entrepreneurial resilience. Despite the challenges, new businesses are emerging, especially in application software and AI — which attracted a record £3.28b in equity investment in 2022. Our survey reveals that 54.0%

of business owners view the current recession as an opportunity. Additionally, 63.0% believe AI will boost productivity and efficiency, while 60.0% foresee increased profitability. Despite mixed feelings about the policy changes likely to be introduced under the new Labour government, the entrepreneurial spirit remains strong.

At Charles Stanley, we are committed to supporting entrepreneurs through good times and bad. Our holistic approach ensures personalised financial planning and investment strategies tailored to long-term success and financial security. Despite the bumps along the way, adversity often fuels innovation and business formation, especially in tech sectors. Looking ahead, AI, clean technology, and digital health are poised to drive the next wave of entrepreneurial growth. We remain dedicated to guiding our clients through these emerging opportunities.

“**At Charles Stanley, we are committed to supporting entrepreneurs through good times and bad.**”

Introduction

This report explores how various periods of economic hardship have created opportunities for the UK's entrepreneurial ecosystem. Where others see problems, entrepreneurs see opportunities, meeting new demands or adapting their business models to better suit evolving needs.

Throughout the UK's history, several periods of economic hardship have shaped the economy. This report will focus on the global financial crisis (GFC) of 2008, the COVID-19 pandemic, and the current cost-of-living crisis. Although the GFC began in the US, its fallout spread worldwide, significantly impacting the UK's service-driven economy.

During the GFC, 585k UK businesses were incorporated, with the period seeing an increase in application software companies and the emergence of challenger banks. The COVID-19 pandemic created an opportunity for entrepreneurs to solve the issues presented by the "new normal" that the pandemic created. Many businesses began to operate in the digital space, in sectors such as application software, software-as-a-service (SaaS), and mobile apps. COVID-19 also created a situation where companies could pivot their current operations to better suit the current climate, either by offering a new range of products or by changing how products and services are offered.

The COVID-19 pandemic caused changes to ways of working that have never been witnessed before. Global lockdowns kept people indoors and made them more reliant than ever on digital services. The measures designed to help with recovery led to inflationary pressure, which, combined with external factors such as the war in Ukraine, supply chain

complications, and an energy crisis, pushed the UK into a cost-of-living crisis in 2021. Each economic event created unique situations for entrepreneurs to overcome. With this came new technologies and sectors for companies to operate in, which are explored in this report.

“Where others see problems, entrepreneurs see opportunities, meeting new demands or adapting their business models to better suit evolving needs.”

Artificial intelligence (AI) offers huge opportunities for businesses across many sectors. It allows businesses to streamline their operations and creates opportunities for those who can identify new ways to apply the technology. Businesses working in AI have attracted a significant amount of equity investment, peaking at £3.28b in 2022.

This report also features a survey of business owners conducted by Charles Stanley. The results suggest that UK business owners are optimistic about the future, viewing trends like global protectionism as opportunities where others may see threats. The survey highlights the excitement business owners feel about AI and its potential, as well as the impact that COVID-19 had on them and their businesses.

How and why Charles Stanley supports entrepreneurs

At Charles Stanley, we offer a comprehensive suite of services designed to meet the needs of entrepreneurs at every stage of their journey. We support entrepreneurs because they are the backbone of a healthy economy. Entrepreneurs drive innovation, bring new products and services to market, and create employment opportunities. Our goal is to empower them to succeed, which, in turn, fuels economic progress. Our 200-year history means we have had to deal with adversity, from economic disasters to wars, and all the while, we have continued to support entrepreneurs.

“**We support entrepreneurs because they are the backbone of a healthy economy.**”

From the start of our relationship, we will take the time to listen and understand your journey, your hopes, goals, and fears. We will offer you long-term support, we know that your needs will change over time. We work in synergy with legal, tax, and accountancy teams meaning we can build your investment portfolios that reflect your financial needs and lifestyle, aiming to ensure the highest level of integrated client service. We work with your tax adviser to maximise your tax efficiency across income, capital gains, and inheritance tax. Our team of advisers can also help you plan a business exit or transfer. We will structure your wealth flexibly, freeing your time to focus on personal ambitions, your family, and the big picture of your business strategy.

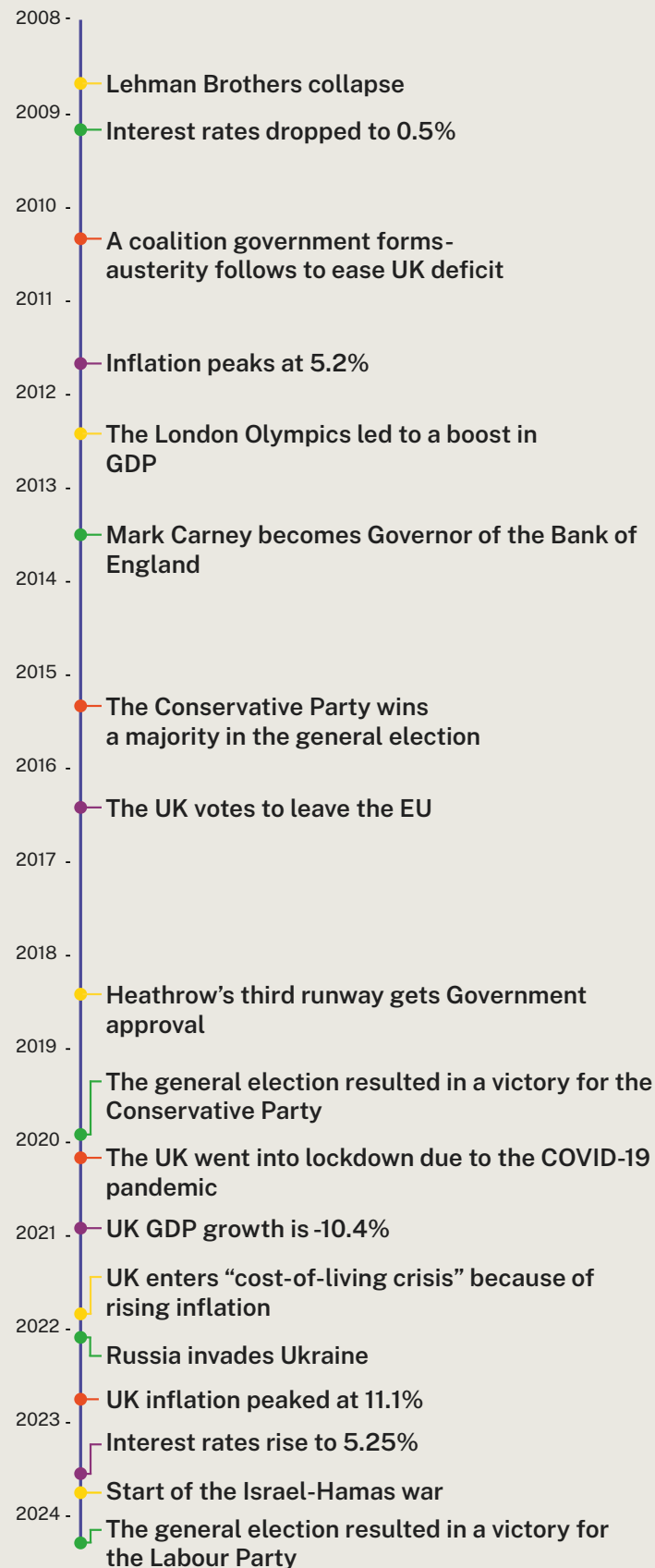
Our wealth management service involves dedicated financial planners and investment managers who will provide you with a holistic financial plan and personalised investment strategy. We will explore your financial requirements to create a plan that meets your goals, gives you confidence in your investment strategy, and forms a secure financial future for you and your loved ones.

For entrepreneurs seeking professional investment management, our bespoke investment service offers dedicated experts to handle your investments. You'll have direct contact with your investment manager, who will build a portfolio tailored to your personal circumstances, investment objectives, and risk appetite. This service can also accommodate specific preferences, such as responsible and ESG investing.

Our commitment to entrepreneurs extends beyond investment management. We offer holistic financial planning services that address various life stages and significant events — including inheritance, divorce or retirement — ensuring you and your family achieve financial security. Our range of planning tools and techniques can also help you become more tax-efficient with your savings.

Summary of the UK's economy since 2008

Timeline of UK economy (2008-2024)



Since the 2008 global financial crisis, the UK economy has navigated significant turbulence, affecting both large and small businesses. After 63 consecutive quarters of growth, the UK's economy contracted for five quarters, taking until 2013 to return to its pre-crisis size.¹ As a service-driven economy, the UK is deeply impacted by fluctuations in both domestic and international spending. Reduced consumer and business spending during economic downturns amplifies job losses across critical sectors such as retail, finance, and hospitality.

Unemployment peaked at 8.50% at the end of 2011, underlining the lasting economic strain.² The post-GFC recovery was further hampered by stagnant productivity levels, which have remained low even before the Brexit uncertainties began affecting company investment in capital expenditure, personnel, and training.

Uncertainty following the Brexit referendum and the UK's subsequent departure from the EU only intensified economic challenges. Then the COVID-19 pandemic delivered a sharp, sudden blow to operational norms and economic stability. In response, the UK government implemented significant interventions, including interest rate cuts and quantitative easing, to buffer the economy and support businesses.

These measures led to inflationary pressures, prompting the Bank of England to later increase interest rates, dampening growth and directing investment away from riskier assets such as private equity and venture capital.

Despite these challenges, there are emerging signs of recovery — at least for the equity investment market. Recent signals from the Bank of England suggest potential rate cuts and positive growth forecasts from major UK banks indicate improving conditions for SMEs.

The general election in July 2024 resulted in a win for the Labour Party. It is the first time in 14 years the party has been in power. Labour is planning to increase the minimum wage and set up Great British Energy, among other improvements to the NHS and education. These policies will aim to lift the UK out of its current period of economic hardship.

¹ "The 2008 Recession 10 Years On," Office for National Statistics, April 30, 2018, accessed May 16, 2024, <https://www.ons.gov.uk/economy/grossdomesticproductgdp/articles/the2008recession10years/2018-04-30>.

² "The 2008 Recession 10 Years On," Office for National Statistics, April 30, 2018, accessed May 16, 2024, <https://www.ons.gov.uk/economy/grossdomesticproductgdp/articles/the2008recession10years/2018-04-30>.

Summary of Opportunities in Adversity survey findings

Key figures (May 2024)



UK business owners are optimistic about the future, seeing opportunities in AI, diversity, hybrid working, falling inflation, and even global protectionism.

The COVID-19 pandemic brought mixed outcomes for business owners. More businesses (32.0%) emerged from the pandemic stronger than those that almost failed (20.0%). For businesses that started post-COVID-19, 35.0% of owners gained the confidence to start their business, 33.0% found the time to start it, 19.0% secured the finance, and 27.0% saw opportunities directly due to the pandemic.

AI is already impacting businesses, with 52.0% of owners using it professionally. Most owners (63.0%) believe AI will improve productivity and efficiency, and 60.0% think it will increase profitability.

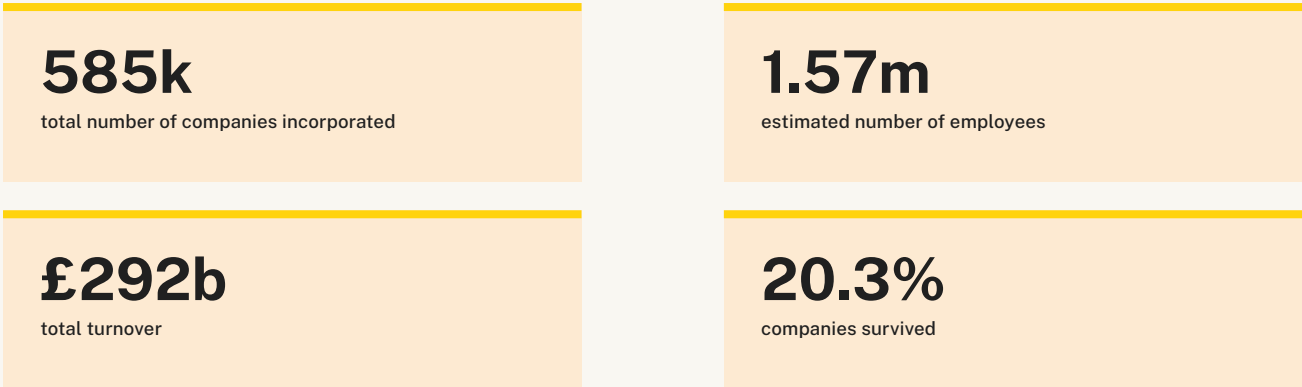
With the new Labour government now elected, businesses are preparing for the party's potential policy changes. Most (53.0%) think an increased minimum wage would benefit their business, and 43.0% feel positive about changes to immigration policy. However, 50.0% say increased business tax would have a negative impact on their company. Labour have now claimed that corporation tax will not change.

Threats to UK business and entrepreneurship according to owners (May 2024)



Successes founded in the GFC

Key figures (2007 Q4-2009 Q2)

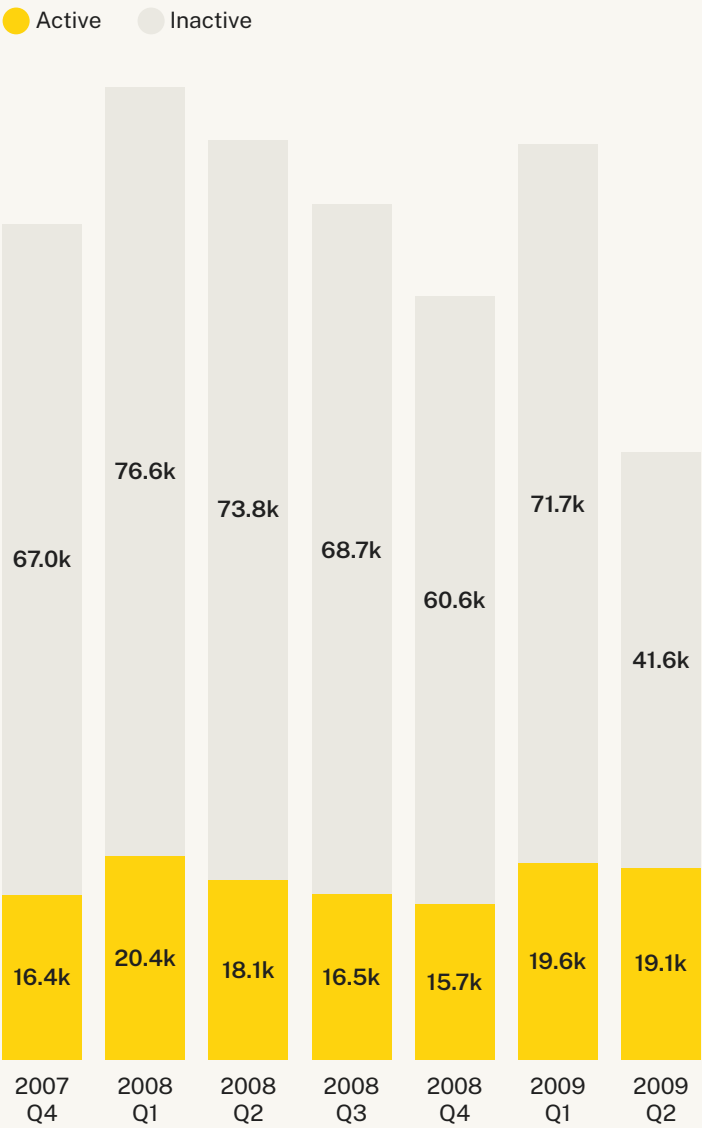


The collapse of the US financial system in 2008 sent shockwaves across the globe, triggering widespread economic downturn, a rise in unemployment, and five consecutive quarters of negative growth for the UK economy.³ Although all G7 economies fell into recession in 2008, the UK was the last to exit.⁴ Service-driven industries such as finance, real estate, and retail were hit hardest by the GFC. Compared to other G7 economies, the UK relies more on service industries. As a result, the impacts of the GFC lasted longer. While the GFC of 2008 rocked economies, there was a silver lining — it fuelled a surge in entrepreneurship.⁵

The GFC highlighted the resilience and perseverance of entrepreneurs in the UK and their ability to rise from adversity. Between 2007 Q4 and 2009 Q2, a total of 585k UK businesses were incorporated, of which 118k (20.3%) are still actively operating. The survival rate of GFC-founded businesses indicates the numerous obstacles and economic events they had to navigate in the years that followed the GFC rather than a reflection of their intrinsic quality.

Private company incorporations increased by 16.3% between 2007 Q4 and 2008 Q1. The rise in company formations can be attributed to “entrepreneurial necessity” — where more individuals are motivated to create companies due to job scarcity and economic hardship.⁶ University of Oxford spinout, Immunocore is one example of a business that successfully navigated the difficulties of the 2008-2009 financial crisis. Founded in December 2007 by Ian Laing, Immunocore is a biotechnology company that develops drugs to combat autoimmune diseases. Although born amidst a financial crisis, the business has since raised more than £400m in equity investment and was listed on the NASDAQ stock exchange at a market capitalisation of \$258m in February 2021.

Companies incorporated during GFC (2007 Q4-2009 Q2)



Sectoral trends

The GFC highlighted the need for innovative and competitive services that could withstand a post-recession climate. The most popular sector for newly incorporated companies was application software. Businesses using application software create web-based programmes that can be used to perform tasks on the Internet. Advancements in the digital society spurred businesses to create novel products and services, capitalising on the emergence of tech-savvy consumers. The events of 2008-2009 saw the emergence of challenger banks such as Oplo and Tandem, which leveraged the financial crisis to offer customer-oriented financial support at a time when public confidence in traditional banking institutions waned.

The number of businesses in distribution and wholesale services, property development and construction, and e-commerce services also increased. However, fewer entrepreneurs ventured into manufacturing, possibly contributing to a 12.3% decline in outputs between Q1 2008 and Q2 2009.⁷ Similarly, the challenging economic climate contributed to the low rates of recruitment companies.

Top sectors for high-growth companies incorporated during the GFC (2007 Q4-2009 Q2)

Rank	Sector	Proportion
01	Application software	12.5%
02	Distribution and wholesale	8.62%
03	Property development and construction	8.36%
04	Online retailing	7.85%
05	Human resources	6.30%
06	Tradespeople and trade services	6.05%
07	Marketing, branding and advertising	5.53%
08	Repair, maintenance and servicing	5.34%
09	Cars, motorcycles and other road vehicles	5.14%
10	Manufacturing	4.89%
11	Software-as-a-Service (SaaS)	4.69%
12	Tutoring, training, coaching and skills development	4.50%
13	Parts and components	4.12%
14	Furniture, furnishings and fixtures	3.99%
15	Recruitment, headhunting and talent management	3.86%
16	Technology consultancy and IT and telecommunications support	3.86%

³ "The 2008 Recession 10 Years On," Office for National Statistics, April 30, 2018, accessed May 16, 2024, <https://www.ons.gov.uk/economy/grossdomesticproductgdp/articles/the2008recession10yearson/2018-04-30>.
⁴ Grahame Allen, Key Issues for the New Parliament 2010, "Recession and recovery," [House of Commons Library Research](#).
⁵ Robert W. Fairlie (University of California, Santa Cruz), "How the Great Recession Spurred Entrepreneurship," [PwC](#), (2013)
⁶ Jeremi Brewer, Stephen Gibson, "Necessity Entrepreneurs: Microenterprise Education and Economic Development," (2014)
⁷ Mark Stephens, "Manufacturing sector performance, UK: 2008 to 2018," [Office for National Statistics](#), April 2021

Case study: Tandem



Tandem operates a digital challenger bank with a particular focus on green finance and promoting a more sustainable planet. Founded in Blackpool in 2014, Tandem introduced a disruptive financial service that leverages technology to assist clients in making greener financial decisions. The fintech was founded by serial entrepreneur and fintech specialist Ricky Knox to provide customers with easy access to tailored financial tools, mortgages, and savings accounts.

The global financial crisis highlighted the vulnerabilities of traditional banking and led to a decline in public confidence. This created market opportunities for fintech businesses such as Tandem, which emerged as alternative financial services. In contrast to traditional financial institutions, fintech services are more innovative and affordable — simplifying banking for the increasingly tech-savvy customer.⁸ The increased scrutiny of traditional banking, in conjunction with the rapid growth of technology, contributed to the popularity of challenger banks that offered innovative

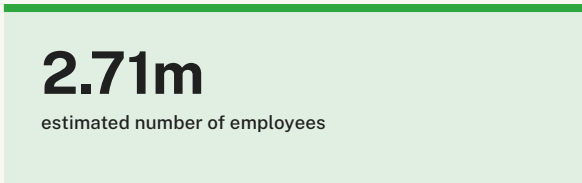
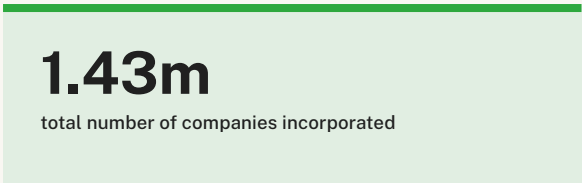
digital solutions to customers' financial queries. Since its inception, Tandem has expanded across the nation with offices in Cardiff, London, Durham, and Manchester. It now employs more than 500 people and has gained the interest of international and UK investors, raising an impressive £362m in equity investment to date.

Tandem's strategic acquisitions — Oplo, Allium, Loop, and Harrods Bank — work with a shared vision — to help more people make greener decisions, helping the planet and their financial health. Oplo, acquired by Tandem in April 2022, emerged from the global financial crisis. Founded by Alexander Mollart, who now leads Tandem as CEO, Oplo was established in 2009 with a clear mandate to offer more equitable financial services. It aimed to address the needs of UK customers affected by the economic fallout and overlooked by conventional high-street banks during the global crash. It has facilitated over £1.00b in responsible loans since its establishment.

⁸Wided Dafri, Reema Al-Qaruty, "Challenges and opportunities to enhance digital financial transformation in crisis management", Social Sciences & Humanities Open, Volume 8, Issue 1, 2023, <https://www.sciencedirect.com/science/article/pii/S259029112300267X?via%3Dihub>

Successes founded during COVID-19

Key figures (March 2020-January 2022)



The COVID-19 pandemic restructured economies globally — the introduction of trade restrictions, social distancing, and lockdowns contributed to an economic slowdown. It presented measurable challenges for existing businesses, particularly for entrepreneurs and the high-growth ecosystem. Entrepreneurs play a crucial role in the economy, with small and medium enterprises (SMEs) accounting for 90.0% of global business and 70.0% of employment.⁹

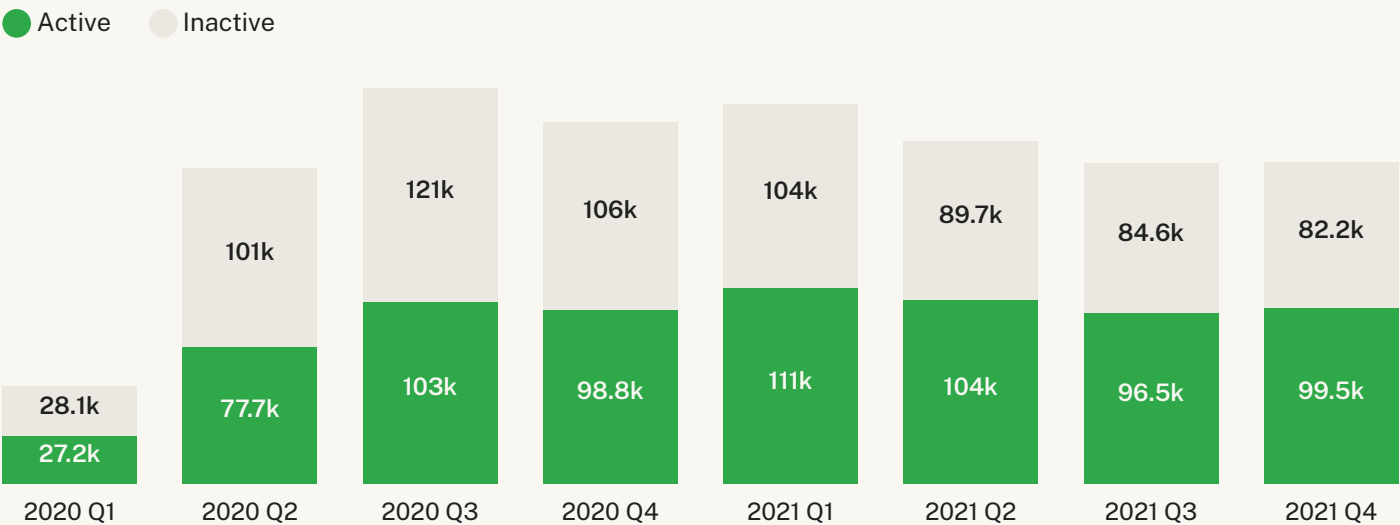
Despite its challenges, the pandemic created an opportunity for established and aspiring entrepreneurs to solve new problems and develop innovative products and services to serve a post-pandemic economy. It also created ample opportunities for emerging and disruptive businesses, with more individuals finding the time to launch their businesses. This is reflected by the 1.43m businesses established between March 2020 and January 2022. The high number of businesses incorporated

during COVID-19 compared to the GFC reflects the growth in the size of the UK economy in the years since the crisis.

Companies that leveraged digital technology to provide interactive activities and enhance customer experience thrived during the pandemic. Fundraising activity in 2021 reached unprecedented levels, which can be attributed to the economic stimulus measures resulting from the pandemic. These measures encouraged investment and increased investor appetite for technology companies.

UK businesses founded between March 2020 and January 2022 have participated in 6.15k fundraising deals, raising £14.0b in equity investment and have collectively generated a turnover of £440b. Top fundraising deals include London-based pet insurance provider Many Pets, which raised £300m between March 2021 and January 2022.

Companies incorporated during COVID-19 (2020 Q1-2021 Q4)



⁹ Ute Stephan et al, "Entrepreneurship during the Covid-19 Pandemic: A global study of entrepreneurs challenges, resilience, and well-being," [King's College London](#), March 2021

Sectoral trends

The COVID-19 pandemic accelerated advancements in digital technologies. A “new normal” required significant changes to people’s livelihoods, and companies in many industries had to advance their digital offerings. Application software was the most popular area for new businesses during this period. Application software refers to digital programmes that can be used to perform tasks in various industries such as healthcare, fintech, and e-commerce. This sector was popular during COVID-19 because of the rise in demand for digital services, as operating online became increasingly necessary.

Software-as-a-service (SaaS), data analytics, mobile apps, and online retailing were also among the top sectors for new businesses launched during the pandemic. SaaS businesses offer subscription-based software services for personal or business use via the Internet. Companies established during this time include the e-commerce platform Shop Circle.

The London-based company develops digital software to help businesses increase sales and improve customer experience. With more businesses moving their services online due to COVID-19 restrictions, companies like Shop Circle provided an innovative solution to help businesses adjust to unprecedented times. Since launching in April 2021, the SaaS business has raised £69.3m in equity investment. Similarly, businesses specialising in data analytics assess datasets in various industries and provide actionable insights for their clients. For example, True Layer is a SaaS business that uses application software to develop APIs (application programming interface) for banks. The London-based firm’s technology allows banks to have standardised access to their clients’ data. At a time when physical contact was restricted, such solutions allowed businesses to carry on with day-to-day activities while giving customers peace of mind.

Top sectors for high-growth companies incorporated during COVID-19 (March 2020-January 2022)

Rank	Sector	Proportion
01	Application software	45.6%
02	Software-as-a-Service (SaaS)	16.9%
03	Data provision and analysis	15.4%
04	Mobile apps	14.0%
05	Online retailing	11.8%
06	Artificial Intelligence	9.53%
07	Subscription	7.79%
08	FinTech	6.25%
09	CleanTech	6.25%
10	Food and drink processing	5.52%
11	Human resources	5.12%
12	Marketing, branding and advertising	4.76%
13	Manufacturing	4.16%
14	Distribution and wholesale	4.16%
15	Electronics hardware	4.01%
16	Tutoring, training, coaching and skills development	3.96%

Case study: Forest



Forest, formerly HumanForest, operates a digital mobility company offering e-bikes as a convenient and eco-friendly transport option. The London-based company was established in 2019 by chief executive and founder Agustin Guilisasti and co-founders Caroline Seton and Michael Ackermann. Guilisasti explains that Forest was born with a mission to create a more sustainable environment, “reforesting the world, one e-bike at a time.”¹⁰ Guilisasti’s experiences in the Amazon inspired the creation of Forest, where he came to the realisation people needed greener, more affordable transport services as current “shared mobility solutions in London were too expensive, and pricing out ordinary people.”¹¹

Like many businesses, Forest had to navigate and strategically adapt to the challenges of the COVID-19 pandemic. Amidst the adversity caused by the global shutdown, Forest seized the opportunity to reiterate the importance of sustainable and socially-distanced mobility solutions. It also led to increased demand for safe, eco-friendly transport solutions in a post-pandemic world. Forest launched at an opportune time, benefiting from some of the positive trends the pandemic encouraged.

Amid the economic uncertainties that resulted from the COVID-19 pandemic, Forest remained committed to affordability, ensuring that e-bikes remained accessible to all people. The business strategically used the resulting cost-

of-living crisis as an opportunity to provide a more affordable mobility solution to the general public. This is underscored by co-founder and Head of Growth Caroline Seton, who highlights that “affordable micromobility has the ability to address both environmental and financial questions that are prominent in today’s environment.”¹² The e-company combines micromobility with digital marketing and partnerships to drive its mission forward and remain affordable. Forest has forged collaborations with sustainable corporates, such as Pangaia and Nutmeg. Digital partnerships with like-minded businesses allow the e-bike company to remain affordable and offer a competitive edge by providing businesses with access to their customer base while maintaining affordable prices for their customers.

Since its inception, the business has raised a total of £17.4m in equity investment, with support from backers including Triodos Bank and crowdfunding platform Crowdcube. In its latest equity fundraising round (November 2023), the business raised £5.00m to develop its advertising technology platform, which displays brand advertising that helps Forest reduce the cost of renting its e-bikes. This raise reflects continued investor confidence, even as the world settles into a post-pandemic era.

¹⁰ Lana Deamer, “Humanforest: London’s First Free Sustainable Mobility Solution,” Startups Magazine, <https://startupsmagazine.co.uk/article-humanforest-londons-first-free-sustainable-mobility-solution>

¹¹ Lana Deamer, “Humanforest: London’s First Free Sustainable Mobility Solution,” Startups Magazine, <https://startupsmagazine.co.uk/article-humanforest-londons-first-free-sustainable-mobility-solution>

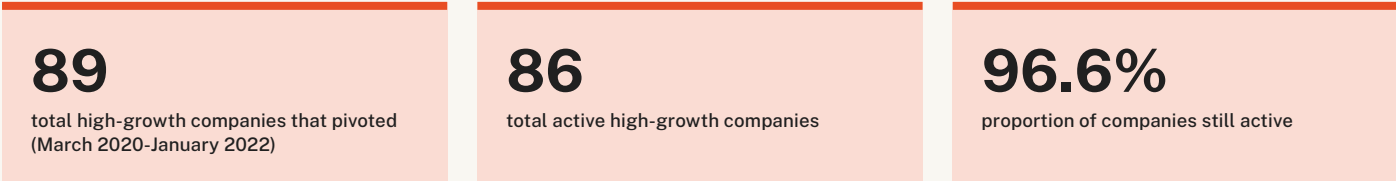
¹² Caroline Seton, “Unlocking the full potential of e-bikes,” Zag Daily, 20 October 2022, <https://zagdaily.com/opinion/unlocking-the-full-potential-of-e-bikes/>

High-growth companies that pivoted during COVID-19

These businesses all pivoted during COVID-19 (see [page 19](#) for methodology) but how they pivoted varied. Some began to offer new products, while others changed how they offered these products and services. Demand patterns changed during the pandemic, soaring for personal hygiene and cleaning products for example.¹³ Some companies were able to utilise their existing production facilities to offer these in-demand products. Businesses in the food and beverage

industry had to change the way in which they provided their products to customers, with takeaway and home delivery services becoming increasingly popular. Some companies shifted towards work-from-home and hybrid working practices even after the cessation of lockdown. In some cases, this has led to cost savings, with businesses not having to pay for office spaces for example,¹⁴ as these companies increasingly utilise online communication methods.

Key figures (As of May 2024)



Top sectors for high-growth companies that pivoted during COVID-19 (March 2020-January 2022)

Rank	Sector	Proportion
01	Distribution and wholesale	27.0%
02	Application software	19.1%
03	Food and drink processing	14.6%
04	Online retailing	12.4%
05	Catering	10.1%
06	Tutoring, training, coaching and skills development	7.87%
07	Restaurants, pubs, cafes and takeaways	7.87%
08	Packaging and printing	7.87%
09	Mobile apps	7.87%

¹³ Marcia Mogelonsky, "Beyond theater: The demand for cleanliness post-COVID-19", Mintel, April 2021

¹⁴ Watermoor Point. "Financial Benefits: The Cost-Saving Advantages of Hybrid Work for Employees and Businesses." Accessed June 14, 2024. <https://www.watermoorpoint.co.uk/financial-benefits-the-cost-saving-advantages-of-hybrid-work-for-employees-and-businesses/>

Case study: Muc-Off



Established in 1994, Muc-Off initially developed cleaning products specifically for bicycles. Over time, the company expanded its product line to include maintenance solutions for motorcycles and cars. Based in Dorset, Muc-Off was founded by Rex and Marilyn Trimnell and has remained a family-owned business. The company's clientele includes professional cycling teams, motorsports teams, and automotive companies. As the official supplier of Bicycle Care Products to Team Sky, Muc-Off has collaborated closely with this elite cycling team to innovate and develop new technologies aimed at enhancing bike performance and efficiency.

As the COVID-19 pandemic disrupted supply chains and changed consumer behaviours, Muc-Off introduced a new range of sanitation and personal protective equipment to meet the increased demand for hygiene products. The company launched antibacterial sanitisers and cleaners tailored to address consumers' concerns about virus transmission. This expansion not only broadened Muc-Off's product portfolio but allowed the company to engage with customers beyond its traditional cycling and motor enthusiast base.

Muc-Off's CEO, Alex Trimnell, son of Rex and Marilyn, describes the pivot as a necessary response to an unprecedented situation. "After planning for growth, the pandemic forced us to focus on how to survive and protect our employees' livelihood," says Trimnell.¹⁵ "The pandemic highlighted the immediate need for hand sanitisers. We saw an opportunity to support this by helping distilleries bottle their products. Once we were able to source alcohol we started producing sanitiser ourselves."¹⁶ Muc-Off received an Innovate UK grant in 2020 to aid in the development of a deployable sanitiser mini-bottling plant.

Trimnell also noted a significant development in the cycling industry during the pandemic. While other European countries imposed bans on cycling, the UK did not, which inadvertently led to an increase in its popularity. This surge benefited Muc-Off's traditional product lines as more people turned to cycling for exercise and transportation during lockdowns, leading to greater demand for bicycle maintenance products.

By leveraging its expertise in product development and manufacturing, Muc-Off maintained its operational stability and even found growth opportunities amid global economic uncertainties.

¹⁵ Duncan Shaw, "Muc-Off CEO Alex Trimnell - The Drop in Podcast," Outside, January 13 2021, <https://www.pinkbike.com/news/muc-off-ceo-alex-trimnell-the-drop-in-podcast.html>

¹⁶ Duncan Shaw, "Muc-Off CEO Alex Trimnell - The Drop in Podcast," Outside, January 13 2021, <https://www.pinkbike.com/news/muc-off-ceo-alex-trimnell-the-drop-in-podcast.html>

Potential successes founded in recent years

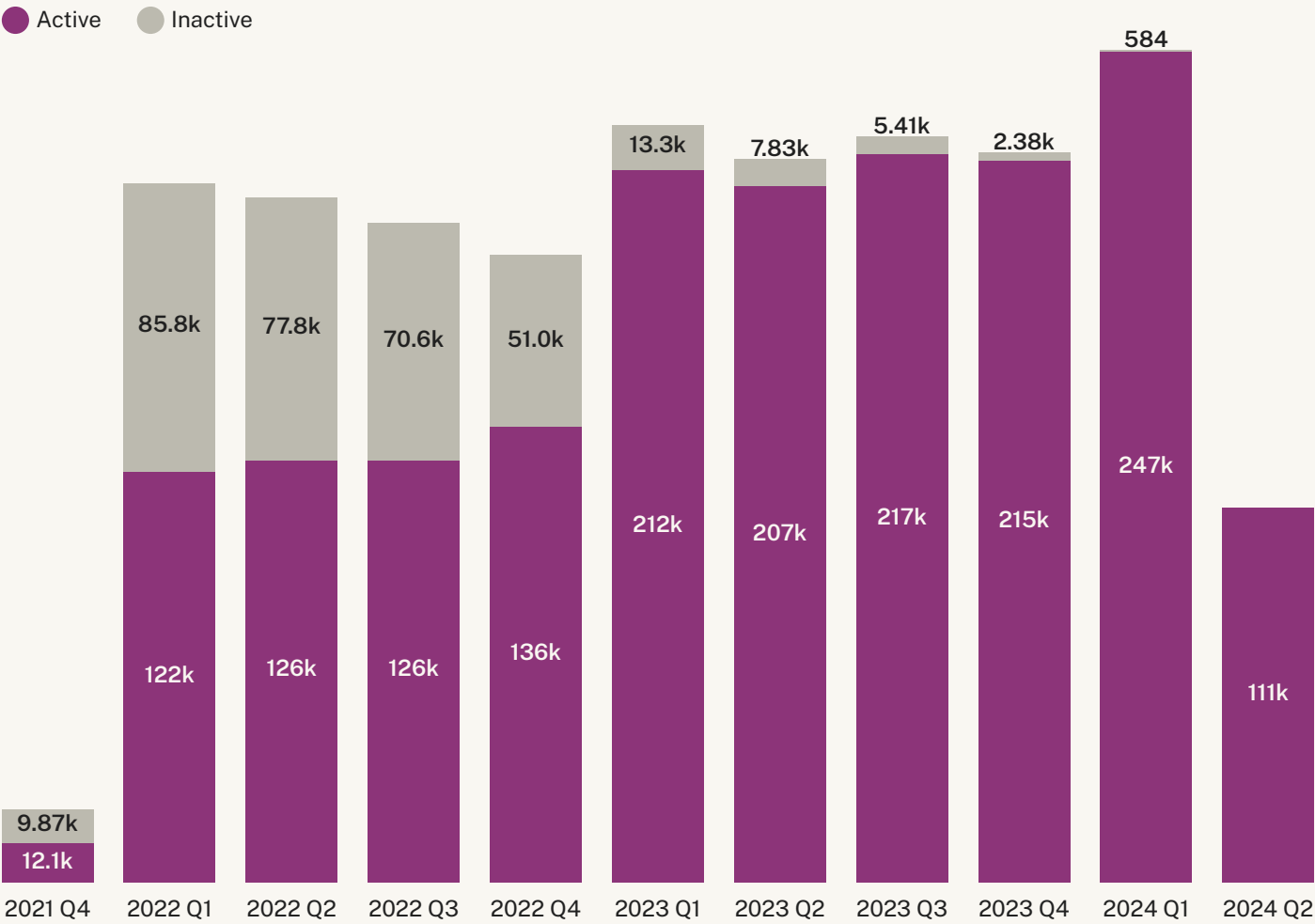
Key figures (December 2021-May 2024)



In recent years, rising inflation has meant prices have risen faster than wages, reducing real income, with the UK entering a cost-of-living crisis. Global factors, such as the war in Ukraine, the energy crisis, and the COVID-19 pandemic, were all driving factors in the rise in inflation. Despite these economic challenges, entrepreneurs have shown remarkable resilience, continuing to create new businesses. The prevalence of high-growth companies in

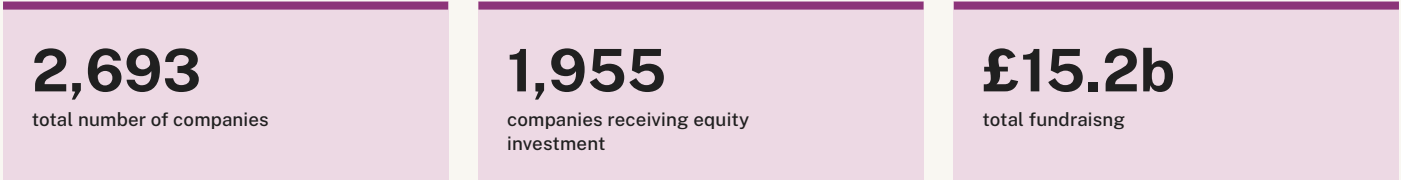
the application software industry reflects a broader pattern within the high-growth company ecosystem. Many of these companies are also in the AI industry, aligning with the rapid advancements in this technology. The high number of companies still active from this period is more a reflection of the limited time they have had to fail rather than an indication of their inherent quality.

Number of companies incorporated since interest rates have risen (Q4 2021-Q2 2024)



The potential of AI for businesses

Key figures (As of May 2024)

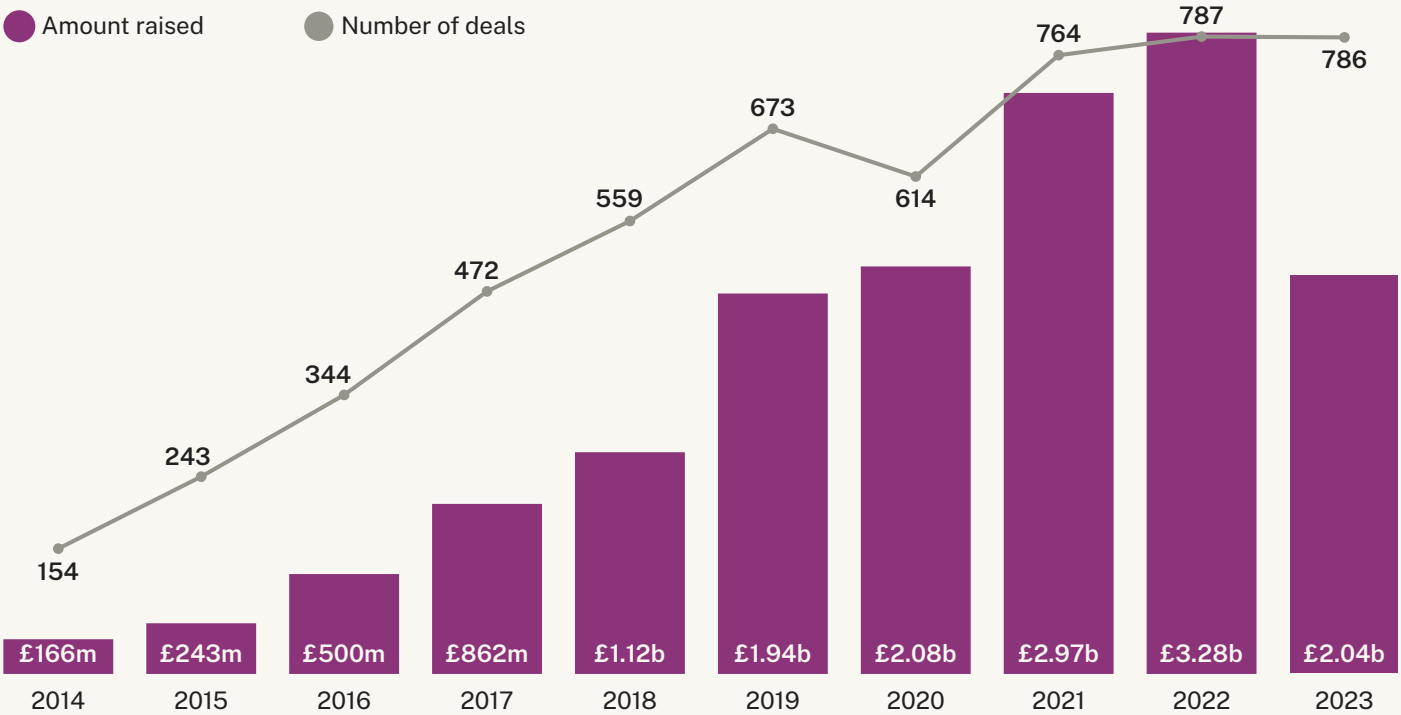


AI is revolutionising business operations across a range of industries, including manufacturing, healthcare, and finance. AI technology offers companies the ability to expand their offerings and streamline operations, which leads to overall increases in efficiency. While some fear the impact AI will have, 62.0% of business owners are excited about what AI will bring and 60.0% think it will make their business more profitable, helping dispel the myths of the danger of AI and instead demonstrating that many business owners view it as an opportunity.

The AI sector is fertile ground for funding, with companies in the sector attracting significant equity investment over the

past ten years. Equity investment encourages AI companies to conduct research and development, an important factor for innovation. The value of equity investment in AI companies peaked in 2022 at £3.28b, up 10.4% from the previous year. The high investment amounts seen in 2021 and 2022 are partly a result of the economic stimulus measures introduced to help companies recover from the COVID-19 pandemic. However, these investment amounts also reflect investor’s confidence in the future of this emerging sector. Investment amounts fell in 2023, in line with what we have seen in the high-growth tech industry, while deal numbers maintained the high levels seen throughout 2021 and 2022.

Equity funding by high-growth AI companies (2014-2023)



Case study: Samudra Oceans



Samudra Oceans, co-founded by Joyeeta Das and Alexander Facey, uses artificial intelligence technology and robotics to advance seaweed farming, focusing on sustainable practices and blue carbon credits. Blue carbon credits are environmental credits that companies or individuals can purchase to offset their carbon emissions. These credits fund the conservation and restoration of coastal ecosystems like mangroves, salt marshes, and seagrass meadows, which are potent in capturing and storing carbon dioxide from the atmosphere. Based in London, the company aims to leverage the potential of seaweed for carbon capture and storage, as it captures significantly more carbon per unit area than terrestrial forests.

Samudra Oceans has developed a range of AI-powered monitoring systems and robotics designed to streamline the process of seaweed farming. These technologies aim to reduce the labour-intensive aspects of subsea farming and lower overhead costs such as manual labour and fuel. The developed system provides real-time data directly to farmers, allowing for more precise monitoring

of water conditions and seaweed growth. This is crucial for maintaining the health and productivity of the crops. In addition to its technological initiatives, Samudra Oceans engages in research partnerships with marine biologists and environmental scientists to enhance its AI algorithms. These partnerships help refine predictions of growth patterns to optimise seaweed cultivation.

Beyond environmental benefits, Samudra Oceans also focuses on the economic viability of seaweed farming. By making the technology affordable and easy to use, the company aims to empower coastal communities worldwide.

Currently, Samudra Oceans operates in the UK and has projects in Jamaica, with plans to expand into India and Sri Lanka. The company has secured investments from the British Design Fund, which has contributed to its pre-seed funding rounds. These funds have been used to build and deploy more prototypes in additional regions. To date, Samudra Ocean has raised £920k via two fundraising rounds.

Conclusion

The history of entrepreneurship in the UK demonstrates that adversity often breeds opportunity. This report has highlighted how periods of economic hardship, such as the GFC of 2008 and the COVID-19 pandemic, have spurred a wave of innovation and new business formations. Software took off following the GFC as software provided opportunities for cash-strapped businesses to do more with less. A similar trend played out during the pandemic when technology played an outsize role in the lives of those living through lockdowns in the UK and working from home. So, despite the challenges, tough times have proven fertile ground for entrepreneurial ventures, particularly in technology-driven sectors.

The current challenging moment for the UK economy may be the proving ground for the next generation of promising UK companies. The Charles Stanley survey findings reveal that UK entrepreneurs remain optimistic, seeing potential even in the current environment. Most business owners (54%) view the current recession as an opportunity for entrepreneurship, and 63% believe AI will improve productivity and efficiency. The proposed policy changes by the newly elected Labour government have a mixed effect on businesses owners, with an increase in minimum wage viewed positively but some are fearful of the impact of potential changes to taxation. The rise of AI represents

the next frontier, promising to transform industries and create new business opportunities. Additionally, sectors like clean technology and digital health are emerging as significant areas of focus. Case studies such as Tandem, Forest, and Samudra Oceans illustrate the resilience and creativity of businesses that have not only survived but thrived by addressing emerging needs and leveraging new technologies.

While tough times test businesses' mettle, they also catalyse innovation and growth. Economic disruption and political change present opportunities for those who can move quickly. Entrepreneurs who can navigate these challenges and seize the opportunities presented are likely to drive the next wave of economic development in the UK.

“**This report has highlighted how periods of economic hardship, such as the GFC of 2008 and the COVID-19 pandemic, have spurred a wave of innovation and new business formations.**”

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Methodological note

This report focuses on UK companies that were incorporated or successfully pivoted during periods of economic hardship.

Key timeframes

- Companies incorporated during the GFC: businesses incorporated between 2007 Q4 and 2009 Q2
- Companies incorporated during the COVID-19 pandemic: businesses incorporated between March 2020 and January 2022
- Companies that pivoted in COVID-19: high-growth companies that are known to have had a fundamental change in business model during the COVID-19 pandemic as tagged by Beauhurst data
- Potential successes founded now: businesses incorporated following the Bank of England's interest rate rise in December 2021

Active companies

For high-growth companies, “active” refers to companies that are at Beauhurst’s seed, venture, growth, established or zombie stages of evolution. The term excludes companies that are dead or that have exited via an IPO or acquisition.

For broader company populations, “active” refers to companies with a current Companies House status of “active” or “dormant.”

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